ASHFORD, CROMDALE CONSULTING & LAINE LLP

411 South Tryon Street, Suite 2800, Charlotte, North Carolina 28202

PRIVILEGED AND CONFIDENTIAL — ATTORNEY-CLIENT COMMUNICATION — ATTORNEY WORK PRODUCT

COVER MEMORANDUM

TO: David Forsythe, Senior Vice President, Commercial Real Estate Lending, Pinnacle Savings Bank, N.A.; and the Senior Loan Committee file

FROM: Katharine ("Kate") Drummond, Partner; Marcus Webb, Associate

DATE: February [___], 2025

RE: Loan No. CRE-2025-0342 — The Piedmont at Brightleaf, 601 and 615 Foster Street, Durham, North Carolina — Transmittal of First Draft Construction Loan Agreement and Report of Material Issues and Inconsistencies Across the Source Record

ENCLOSURE: Construction Loan Agreement (Construction-to-Mini-Permanent Facility), first draft, with Exhibits A–H ("Draft Agreement")

Prepared in anticipation of litigation and for the purpose of providing legal advice. This memorandum is furnished to the Lender and its credit personnel in connection with the above-referenced transaction and is protected by the attorney-client privilege and the work product doctrine. It should not be delivered to the Borrower, any Guarantor, the Mezzanine Lender, or any other third party, and should not be filed with the loan file unless the loan file is maintained separately from materials available to the Borrower or any regulator on a non-privileged basis. Distribution beyond the addressees and the Bank's credit administration function requires the approval of the Chief Credit Officer.

1. Purpose, Scope and Limitations

1.1 Purpose. You asked us to prepare a first draft of the construction-to-mini-permanent loan agreement for Loan No. CRE-2025-0342 and to report the material issues and inconsistencies we identified across the source documents. This memorandum transmits the Draft Agreement and reports those issues, with a recommended resolution for each and a cross-reference to the provision of the Draft Agreement in which the issue is addressed or reserved. The Draft Agreement has been prepared to a bank-standard, Lender-favorable first-draft position; it is not a negotiated document, and several provisions deliberately adopt a position more conservative than the executed Term Sheet where the record does not support the Term Sheet's assumption.

1.2 Source record reviewed. We reviewed each of the following documents in full: (a) the Term Sheet dated January 10, 2025, executed by the Lender and the Borrower (the "Term Sheet"); (b) the Senior Loan Committee Credit Memorandum dated January 22, 2025 (the "Credit Memorandum"); (c) the Executive Summary of the Self-Contained Appraisal Report dated November 15, 2024 prepared by Ridgeline Appraisal Services Inc. (File No. RAS-2024-1147) (the "Appraisal Summary"); (d) the Commitment for Title Insurance No. NC-2024-88712 dated December 5, 2024 issued by Aldersgate Title & Escrow Inc. (the "Title Commitment"); (e) the excerpted sections of the Phase I Environmental Site Assessment dated October 28, 2024 prepared by Sentinel Environmental Consulting LLC (Project No. SEC-2024-1147) (the "Phase I ESA"); (f) the Borrower organizational chart and entity materials dated January 2025 prepared by Calloway & Strauss PLLC, including excerpts from the Borrower's Amended and Restated Operating Agreement (the "Organization Materials"); and (g) the construction budget and draw schedule date January 8, 2025 prepared by the Borrower (the "Borrower's Budget and Draw Schedule").

1.3 Documents not in the record. Our review is limited to the documents listed above. We have not reviewed, and the Draft Agreement is drafted on the assumption that the Lender will obtain, the items listed in Section 8 below. Several of those items are material to conclusions expressed in this memorandum — in particular, the payoff statement for the Triangle Commercial Bank deed of trust (Item M-5), the Intercreditor Agreement (Item M-3), the NCDEQ No Further Action letter itself and evidence of recordation of the land use restriction (Item M-6), the Phase II Environmental Site Assessment (Item M-19), the full 187-page appraisal report and the Lender's internal appraisal review memorandum (Item M-22), and the complete Operating Agreement (Item M-2). Where we refer to those documents, we rely on the characterization given in the document that summarizes them, and we say so.

1.4 Independent verification. We recomputed every stated total, ratio, percentage, date interval, acreage, and cross-reference in the source record rather than relying on the summaries. The results are set out in Section 6. We note as a general matter that the headline arithmetic in the record is sound: the $56,700,000 uses of funds, the $47,500,000 draw schedule, the net operating income waterfall, the debt service coverage ratio, the loan-to-value and loan-to-cost ratios, the guarantor net worth and liquidity figures, and the appraisal's income and lease-up adjustments all recompute as stated. The defects we identify are therefore not principally errors of addition. They are defects of allocation, of assumption, and of consistency between documents — which is the more dangerous category, because the numbers "add up" while describing a transaction different from the one the Lender believes it is making.

1.5 Separation of content. To keep the analysis usable, this memorandum distinguishes throughout between (a) facts extracted from the source record, which we cite; (b) assumptions, which we identify as such; (c) legal

characterizations, which are preliminary and subject to confirmation on receipt of the missing documents; (d) open questions, which are collected in Section 8; and (e) recommendations, which appear in italicized or "Recommendation" form at the end of each item.

2. Executive Summary and Top-Risk Register

2.1 Overall assessment. The credit is underwritten to a reasonable standard and the Draft Agreement can support it. The record, however, contains seven conditions that we do not believe can be satisfied on the strength of the documents as they stand, and a further set of inconsistencies that will have to be resolved — by reduction of the loan, by an additional equity contribution, by third-party deliverables, or by conforming the documentation — before the Lender should fund. Three are structural or financial (the loan-to-cost ratio, the enforceability of the membership interest pledge, and the competing first-priority pledges of the same collateral); three are title and environmental (mechanic's lien priority for pre-closing work, the unfunded payoff of the existing deed of trust, and the unperformed conditions of the NCDEQ no-further-action determination); and one is geometric (the parcels as described in the title commitment do not match the parcels as described in the environmental report, which matters because the environmental use restriction is defined by reference to a corner of one of them).

2.2 Top-risk register.

No.	Issue	Why it matters	Recommended resolution	Draft §
M-1	Loan-to-cost ratio of 83.77% exceeds the 80% covenant in the Term Sheet and the Credit Memorandum; the prescribed $2,140,000 equity escrow does not cure it	The Loan is in breach of its own financial covenant at funding, and the Credit Memorandum's condition is arithmetically incapable of producing compliance	Reduce the Commitment to $45,360,000 (or fund $2,675,000 of verified additional cost), and keep the $2,140,000 escrow as a separate equity requirement	3.9; 8.1
M-2	Section 9.1 of the Operating Agreement makes any transfer of a membership interest without 75% member consent "null and void"; Section 3.2 requires 75% approval for any financing over $1,000,000	The Lender's principal remedy against the membership interests could be void, and the 28% member controlled by the mezzanine principal has an effective veto over any refinancing or take-out	Condition closing on amendment of Operating Agreement Articles III and IX, with member consents and an enforceability opinion	3.2; 3.10; 9.5; 14.2
M-3	Senior and mezzanine lenders both claim a first-priority pledge of 100% of the membership interests; no Intercreditor Agreement; no UCC search in the record	The pledge described in the Term Sheet may not exist; priority would be litigated in a default	Intercreditor Agreement as a non-waivable condition; control agreements; UCC-3 subordination; lien searches	3.11; 9.5; 9.6

No.	Issue	Why it matters	Recommended resolution	Draft §
M-4	Demolition (August 2024) and remediation (September 2024) preceded recording of the Deed of Trust; N.C.G.S. § 44A-10 relates liens back to first furnishing	Mechanic's liens for pre-closing work could prime the Deed of Trust	Lien waivers and paid receipts from demolition and remediation contractors; title mechanic's lien endorsement or indemnity; carefully limited owner's affidavit	3.4; 3.20; 4.6
M-5	The $3.4 million Triangle Commercial Bank deed of trust must be released at closing, but there is no payoff figure, no payoff letter, no line item in the uses of funds, and no cash equity to pay it	The Lender cannot obtain the first-priority title policy it requires, and the payoff is unfunded	Obtain payoff; add a funded use; confirm no surviving recourse; escrow the release for simultaneous recording	3.12; Exh. C
M-6	NFA Letter conditions are unperformed: the deed notice was due November 29, 2024 and is not shown in the December 5, 2024 Title Commitment; no soil management plan; the non-residential use restriction conflicts with residential units above the affected area	Non-compliance with the NFA Letter is both a regulatory exposure and an Event of Default; the use conflict, if unresolved, breaches the DSCR and LTV covenants	Condition on NCDEQ modification or confirmation, or redesign; record the land use restriction as a permitted exception; PE-designed vapor system in the GMP; pollution legal liability insurance	3.6; 6.5; 7.10; 11.11; Exh. E
M-7	The title legal descriptions (2.09 + 1.38 acres, Parcel 2 south of Parcel 1, about 500.5 feet of Foster Street frontage) do not match the Phase I ESA (1.89 + 1.58 acres, "western" and "eastern" parcels, Foster Street on the north) or the Appraisal (420 feet of frontage)	The legal description in the Deed of Trust, the location of the 0.38-acre Restricted Area relative to the building footprint, and the stormwater easement's location all depend on which description is right	Obtain the ALTA/NSPS Survey; overlay the Phase II Figure 3 delineation on the floor plans; conform Exhibit A	Exh. A; 3.4; 6.5(d)
M-9	As-completed LTV is 65.25%, which exceeds the 65% maximum in Sections 4 and 6.2 of the Term Sheet, although the Credit Memorandum applies a 70% policy limit and reports "Pass"	A covenant breached at closing is not a covenant	Elect either a 70% covenant (with documented policy support and credit approval of the deviation from the Term Sheet) or a reduced Commitment	8.2

2.3 Two observations that cut across the register. First, the Credit Memorandum's conditions of approval and the Term Sheet do not match. The Term Sheet contains no equity escrow, no independent manager, no non-consolidation opinion, no interest rate cap and no environmental use-resolution condition; the Credit Memorandum makes each of them critical. Because the Term Sheet is non-binding except for its Sections 22 and 23 and is expressly conditioned on the Lender's documentation approval, the Lender may impose them — but the Borrower will characterize them as new terms, and the Draft Agreement therefore recites them as conditions precedent and covenants rather than assuming the

Borrower has agreed. Second, several of the conditions in the Credit Memorandum are stated as remedies for a problem they do not in fact solve (Items M-1 and M-9 are the clearest examples). Those conditions should be redrawn before the commitment letter stage so that the Lender is not left holding a satisfied condition and an unsatisfied covenant.

3. Detailed Issue Analysis

Tier 1 — Issues that should be resolved before the Lender commits to fund

Item M-1 — The loan-to-cost ratio breaches the covenant at closing, and the prescribed equity escrow does not cure it.

What the record says. Section 6.1 of the Term Sheet caps the loan-to-cost ratio at 80% "at any time during the term of the Loan," with total project costs of $56,700,000. Sections 5.1, 5.3 and 10.1.2 of the Credit Memorandum state the ratio at 83.77% and prescribe, as the cure, a $2,140,000 deposit into a Bank-controlled equity escrow account. The Borrower's Budget and Draw Schedule flags the same exceedance and the same dollar shortfall.

Analysis. The arithmetic is correct and we have confirmed it: $47,500,000 ÷ $56,700,000 = 83.7743%; at 80%, the maximum senior loan is $45,360,000; the gap is $2,140,000. The difficulty is not arithmetic. The loan-to-cost ratio is a ratio of the principal amount of the Loan to total project costs. Adding a source of funds does not change the numerator or the denominator. If the Borrower deposits $2,140,000 and the Commitment remains $47,500,000, the Loan is still 83.77% of project costs, the covenant is still breached, and the Lender has simply acquired $2,140,000 of undrawn availability plus a sources-and-uses statement that no longer balances by $2,140,000. The only structures that actually produce compliance are (a) a permanent reduction of the Commitment to $45,360,000, which reduces the numerator, or (b) an increase in verified total project costs to not less than $59,375,000 ($47,500,000 ÷ 0.80), which increases the denominator. The credit-tier remedy — "the Borrower either deposits $2,140,000 or reduces the Loan to $45,360,000" — is, read literally, a choice between one remedy that works and one that does not. We also note that even in the reduced-loan case the equity escrow has independent value as a demonstration that the Borrower has cash at risk, because the Borrower's only other equity is the land (Item M-16).

Recommendation. Before the Loan is documented for signature, elect one of the two working structures and restate the Note, the Approved Budget and Exhibit D accordingly. Our preference is the Reduced Commitment of $45,360,000 with the $2,140,000 equity escrow retained as an independent condition. If the business decision is a $47,500,000 commitment, then the Lender must be satisfied that at least $2,675,000 of additional project costs are real, documented and funded from sources other than the Loan and the Mezzanine Loan; we would not accept a re-characterization of existing budget lines as "additional cost." Section 3.9 and

Section 8.1 of the Draft Agreement are drafted to require one of the two compliant outcomes and expressly state that a cash deposit alone does not satisfy the covenant.

Item M-2 — The Operating Agreement voids the very transfer on which the Lender's remedy depends.

What the record says. Section 2.5 of the Organization Materials reproduces Section 9.1 of the Operating Agreement: no member may "sell, assign, transfer, pledge, encumber, hypothecate, or otherwise dispose of" any membership interest "without the prior written consent of the Managing Member and Members holding at least seventy-five percent (75%) of the outstanding membership interests," and "any purported transfer in violation of this Section 9.1 shall be null and void." Section 2.2 reproduces Section 3.2, which requires 75% member approval for, among other things, "any financing or refinancing of the Property in a principal amount in excess of One Million Dollars," any amendment to the Operating Agreement, and any voluntary bankruptcy filing. The Organization Materials correctly observe that Ms. Vasquez-Torres (62%) plus Mr. Osei (10%) equals 72%, below the threshold, so Brightleaf Investors Group LLC (28%) holds an effective veto over each of those decisions.

Analysis. Three separate problems follow. First, a pledge can be authorized at closing by the necessary consents, but the Lender's subsequent exercise of remedies — a UCC foreclosure sale, a transfer in lieu of foreclosure, or a transfer to a designee — is itself a "transfer" that requires 75% member consent unless the Operating Agreement is amended. On the present text, a purchaser at the Lender's foreclosure sale could take an interest that is void, and the sale itself could be set aside. Second, the 75% approval requirement for any financing over $1,000,000 gives the mezzanine principal, through his 28% member, a veto over the very refinancing that is the Lender's exit. That is a direct conflict with the mini-perm structure and with the intercreditor terms the Credit Memorandum requires. Third, the 75% requirement for a voluntary bankruptcy filing is inconsistent with the independent manager protection that the Credit Memorandum makes a critical condition: if the members must approve by 75%, an "independent" manager with a veto adds nothing, because the affiliated 28% member already controls the outcome in the direction that matters. These are legal characterizations of North Carolina limited liability company and UCC law on the documents as excerpted; we will confirm them against the complete Operating Agreement and will address them in the enforceability opinion.

Recommendation. Condition closing on an amendment to Articles III and IX of the Operating Agreement that (a) authorizes the pledges to the Lender without further member action, (b) provides expressly that any exercise of the Lender's remedies, including a foreclosure sale and the admission of a purchaser as a member, is permitted and is not void, (c) carves actions taken under the Loan Documents — including the granting of security, extensions under Section 2.12, and refinancings

of the Loan — out of the 75% approval requirement, and (d) vests the bankruptcy-filing decision in the independent manager alone. Obtain the written consent of all three members and an opinion of Borrower's counsel that the amendment is effective and that the Lender's remedies are enforceable notwithstanding Article IX. Sections 3.2, 3.10, 9.5(d) and 14.2 of the Draft Agreement implement this. This item also requires the Borrower's cooperation in delivering the complete Operating Agreement; we have only the excerpts.

Item M-3 — Competing first-priority pledges of the same collateral.

What the record says. Section 8 of the Term Sheet grants the Lender a "pledge of 100% of membership interests in the Borrower by all members." Section 1.4 of the Term Sheet records that the Mezzanine Loan "shall be secured by a pledge of 100% of the membership interests in the Borrower." Section 1.2 of the Organization Materials states that the mezzanine lender "currently holds a pledge of 100% of the membership interests." Section 4.2 and Section 9.4 of the Credit Memorandum identify the conflict and propose senior-first priority under an intercreditor agreement. Section 1.4 of the Term Sheet and Section 4.4 of the Credit Memorandum both record that the intercreditor agreement is not yet executed.

Analysis. Two lenders cannot each hold a first-priority security interest in the same collateral. The Term Sheet describes a condition that cannot be satisfied as written. The Credit Memorandum's proposed resolution — senior first, mezzanine second, under an intercreditor agreement — is the correct commercial answer and is reflected in Section 9.5 and Section 9.6 of the Draft Agreement. Two further points deserve attention. First, the "currently holds" language implies that the mezzanine lender may already have filed a UCC-1 financing statement; nothing in the record confirms or refutes this, and we have no UCC, tax lien, judgment, litigation or bankruptcy search. Second, the pledge of Brightleaf Investors Group LLC's 28% interest is given by an entity controlled by the same individual who controls the mezzanine lender. The pledge is therefore, in substance, a pledge by an affiliate of the subordinated creditor to the senior creditor, and the Lender should require a control agreement or original certificated interests (or, for uncertificated interests, a control agreement under N.C.G.S. Chapter 25, Articles 8 and 9) rather than rely on a filed financing statement for perfection as against the mezzanine lender.

Recommendation. Make the executed Intercreditor Agreement a non-waivable condition precedent, with (a) express senior-first priority in the membership interests, (b) a 90-day standstill, (c) cure rights and a purchase option, (d) a prohibition on amendments to the Mezzanine Documents without the Lender's consent, and (e) express acknowledgment of the affiliate relationship. Obtain UCC-3 subordination of any mezzanine filing, control agreements for the pledged interests, and a full lien search before closing. Sections 3.11, 9.5 and 9.6 of the Draft Agreement implement this.

Item M-4 — Mechanic's lien priority for work performed before the Deed of Trust is recorded.

What the record says. The Phase I ESA states that the former warehouse structures were demolished in August 2024 and that remediation, including excavation and off-site disposal of impacted soil, was completed in September 2024. The Appraisal states that demolition and remediation were completed before the November 12, 2024 inspection and that the site has been rough-graded. The Borrower's Budget and Draw Schedule includes a $3,180,000 site work line (demolition, grading, utilities, paving) within the GMP. Note 4 to the Title Commitment warns that, under N.C.G.S. § 44A-10, a claim of lien "relates back to and is effective from the time of first furnishing of labor or materials at the site of the improvement," and recommends an affidavit that no labor has been performed and no materials furnished before recording, together with lien waivers if any work has commenced.

Analysis. Work plainly has commenced. Demolition and soil remediation are improvements to real property, and the persons who furnished that labor and material may claim liens that relate back to 2024 — ahead of a Deed of Trust recorded in February 2025. The Title Commitment's recommended affidavit can therefore not be given truthfully in unqualified form. This is a title and priority problem, not a documentation formality: the Lender's principal assurance of first priority is the Title Policy, and the standard exception for mechanic's liens is precisely the exception that matters here. The severity depends on whether the demolition and remediation contractors have been paid in full and have delivered final waivers, which the record does not show.

Recommendation. Obtain (a) final, unconditional lien waivers and paid receipts from the demolition contractor and from Sentinel Environmental Consulting LLC or its remediation subcontractor, (b) an owner's affidavit and payment affidavit that are accurate and limited to what is true, (c) a mechanic's lien endorsement or an indemnity from the Title Insurer acceptable to the Lender, and (d) if any such contractor has not been paid, payment at closing with a corresponding addition to the uses of funds. Sections 3.4, 3.20 and 4.6 of the Draft Agreement require this, and Exhibit E expressly excludes any exception for such liens from the Permitted Exceptions.

Item M-5 — The existing deed of trust: unfunded, unquantified, and possibly recourse.

What the record says. Schedule A of the Title Commitment states that title vested in the Borrower by Special Warranty Deed recorded in Book 7598, Page 443, dated June 12, 2023, from Foster Street Properties LLC. Schedule B, Part I, Requirement 4 requires satisfaction and release of the deed of trust recorded in Book 6215, Page 892, "from Harborview Capital Partners LLC (as successor-in-title to Foster Street Properties LLC, the original grantor)" to Triangle Commercial Bank, dated September 14, 2018, securing an original indebtedness of $3,400,000, of which no

release has been recorded. Schedule B, Part II, Exception 10 reports that Borrower's counsel advised the Title Insurer by letter dated November 22, 2024 that the debt "has been partially repaid" and that the balance "will be satisfied in full at or prior to closing from the Borrower's own funds or from closing proceeds," and that the Title Insurer has not verified the balance. Section 9.7 of the Credit Memorandum describes the same item and states that it will be satisfied "from the proceeds of the senior construction loan or from borrower funds."

Analysis. Four gaps. First, the outstanding balance is unknown; the $3,400,000 figure is the original principal amount and the record confirms only that some unspecified partial repayment has occurred. Second, there is no payoff letter. Third, the uses of funds contain no payoff line, the Borrower contributes $0 cash, and Draw 1 is fully allocated to soft costs, the interest reserve and the origination fee — so neither identified source exists in the budget. Fourth, the deed of trust was granted by a predecessor in title, and the Borrower is described as "successor-in-title," which raises an unaddressed question whether the Borrower assumed the debt and whether any guaranty or recourse obligation of the Borrower or a member survives the payoff. The Credit Memorandum does not analyze the assumption question.

Recommendation. Obtain a payoff letter dated within 30 days of closing, add the payoff as a funded use of funds, confirm in writing that no guaranty, indemnity or other obligation of the Borrower or any member survives, and escrow the payoff and the recorded release with the Title Insurer so that the release is recorded simultaneously with the Deed of Trust. Section 3.12 and Note 1 to Exhibit C of the Draft Agreement require this, and the Draft Agreement makes the existence of the payoff in the reconciled sources and uses a closing condition.

Item M-6 — The NCDEQ no-further-action determination is conditional, and the conditions are not performed.

What the record says. The Phase I ESA reports that the NFA Letter dated September 30, 2024 is conditioned on four requirements: (1) installation of a soil vapor mitigation system beneath any enclosed structure over the affected area, with as-built drawings and a performance verification report to NCDEQ within 90 days of foundation completion; (2) restriction of the affected 0.38 acres to non-residential use, memorialized in a recorded land use restriction; (3) a NCDEQ-approved soil management plan before any subsurface disturbance in the affected area; and (4) a deed notice recorded in the Durham County Registry within 60 days of the NFA Letter, that is, by November 29, 2024. The Phase I ESA states that as of October 28, 2024 the deed notice had not been recorded. The Title Commitment is effective December 5, 2024 and its Schedule B, Part II lists the utility easement, the stormwater easement, the Declaration of Covenants and the Triangle Commercial Bank deed of trust — but no land use restriction and no deed notice.

Analysis. This is the single most consequential environmental finding in the record, and it has three layers. First, compliance: if the deed notice was not recorded by

November 29, 2024, the Borrower is in breach of a condition of the NFA determination, which the Phase I ESA warns "could jeopardize the NFA status and may constitute non-compliance." If it was recorded, the Title Commitment should show it as an exception, and its absence is itself a title defect that must be resolved before the Deed of Trust is recorded. Either way the Lender needs a definitive answer, and the December 5, 2024 effective date makes the silence probative. Second, the use conflict: the non-residential restriction applies to the affected area. The Credit Memorandum states as fact that the Project "position[s] 14 residential units in the building above this area," and quantifies the consequence at a $377,160 annual revenue loss, $4,499,640 of NOI and a 1.21x DSCR. The Phase I ESA, however, expressly did not verify that any residential unit sits above the affected area and recommends an overlay of the floor plans on its Figure 3; and the Appraisal states that it "expresses no opinion as to the legal permissibility of the planned residential use of the area above the environmentally restricted portion of the site" and that it "has not adjusted the valuation conclusions." The Credit Memorandum's factual premise is therefore not supported by either of the technical reports it cites, and the number "14" is numerically identical to the three-bedroom unit count, which suggests it may have been derived from the unit mix rather than from a spatial analysis. Third, the valuation consequence is worse than the Credit Memorandum states: if 14 units cannot be leased, our recomputation gives NOI of $4,499,640, a DSCR of 1.207x and, at the Appraisal's 6.40% capitalization rate, an as-stabilized value of $70,306,875 — an LTV of 67.56%, which breaches the 65% LTV covenant as well as the 1.25x DSCR covenant.

Recommendation. Require, as a condition to closing or at the Lender's election as a condition to any advance for work within or above the Restricted Area, one of: (a) a written modification of the NFA Letter permitting residential use; (b) written NCDEQ confirmation that residential use of the floors above the grade-level restricted area is permitted with engineering controls; or (c) a Lender-approved redesign eliminating residential use within and above the Restricted Area, with an updated appraisal. In addition, require a certified copy of the recorded land use restriction with a title endorsement, add the restriction to the Permitted Exceptions (and to nothing else), require the soil management plan, require the vapor system to be designed by a North Carolina professional engineer and carried in the GMP, and consider a pollution legal liability policy as the Phase I ESA recommends. Sections 3.6, 6.5, 7.10, 11.11 and Exhibit E implement this.

Item M-7 — The parcels in the title commitment are not the parcels in the environmental report.

What the record says. Schedule A of the Title Commitment describes Parcel 1 (0821-04-72-3341, 601 Foster Street) as approximately 2.09 acres and Parcel 2 (0821-04-72-4102, 615 Foster Street) as approximately 1.38 acres. The metes and bounds are internally consistent with those areas: Parcel 1 is 298.62 feet north-south by 305.41 feet east-west, or about 91,204 square feet; Parcel 2 is 201.88 feet

by 297.63 feet, or about 60,087 square feet. Critically, the legal description of Parcel 2 begins at “the southwestern corner of Parcel 1” and runs south along Foster Street, so Parcel 2 lies directly south of Parcel 1, and both parcels front Foster Street on their western boundary. The Phase I ESA describes the parcels differently: Parcel 0821-04-72-3341 as “approximately 1.89 acres” and Parcel 0821-04-72-4102 as “approximately 1.58 acres,” referring to them as the “western parcel” and the “eastern parcel” and stating that the site “fronts Foster Street to the north.” The Appraisal states approximately 420 feet of frontage along Foster Street on the western boundary.

Analysis. The combined acreage agrees at 3.47 acres in every document, which is why the discrepancy has gone unnoticed, but the individual acreages do not agree (2.09/1.38 versus 1.89/1.58), the orientation does not agree (north-south with Foster Street on the west, versus west-east with Foster Street on the north), and the frontage does not agree (the legal descriptions imply about 500.5 feet along Foster Street; the Appraisal says 420 feet). This is not academic. The Restricted Area is defined as “the northeast corner of Parcel 0821-04-72-4102.” If Parcel 2 is south of Parcel 1 and Foster Street is to the west, then the northeast corner of Parcel 2 is an interior point adjacent to Parcel 1, not a street corner — a materially different location for the vapor mitigation system, for the exclusion of residential occupancy, and for the geotechnical and shoring analysis. Relatedly, the stormwater management easement is described in the Title Commitment as affecting “approximately 0.22 acres in the southern portion of Parcel 1,” while the Phase I ESA describes it as in the “southern portion of the site,” and the Phase I ESA notes that complete removal of contamination was not feasible along the eastern boundary because of a 12-inch sanitary sewer main — all of which bears on where a four-level garage can be built.

Recommendation. Obtain the ALTA/NSPS Survey required by the Title Commitment and the Draft Agreement, reconcile the individual acreages to the metes and bounds, and require the Borrower’s architect and environmental consultant to deliver a signed overlay of the Phase II Figure 3 delineation onto the floor plans identifying every residential unit within or above the Restricted Area. Do not accept the “14 units” figure until that overlay is delivered. Section 3.4, Section 6.5(d) and Exhibit A of the Draft Agreement implement this, and Exhibit A carries a drafting note recording the conflict.

Tier 2 — Material economic and credit issues

Item M-9 — The as-completed loan-to-value ratio exceeds the Term Sheet’s own 65% limit.

What the record says. Section 4 of the Term Sheet states that “the Lender’s maximum loan-to-value ratio shall not exceed 65% on an as-completed basis,” and Section 6.2 caps both the as-completed and as-stabilized ratios at 65%. Section 6.1 of the Credit Memorandum reports the as-completed ratio of 65.25% as “Pass”

against a "Bank Policy" maximum of 70%, and Section 12 describes the policy maximum as 70% for construction loans.

Analysis. $47,500,000 ÷ $72,800,000 = 65.2473%. The Loan therefore exceeds the 65% limitation the Lender negotiated in the Term Sheet by 0.25 percentage points, and the Credit Memorandum does not identify the deviation; it substitutes a different, higher limit. That is a documentation risk, not a rounding issue: if the Draft Agreement were to reproduce the Term Sheet's 65% covenant, the Borrower would be in default at closing, and a Borrower facing a covenant it cannot meet has an argument that the Lender's own document is internally inconsistent and unenforceable as to that covenant. It is also a regulatory-presentation issue, because the lender's stated policy limit and the executed commitment differ.

Recommendation. Elect one: apply a 70% covenant with (a) written confirmation from credit that 70% is the applicable policy limit for this product and (b) documented approval of the deviation from the executed Term Sheet; or retain 65% and reduce the Commitment to $47,320,000 or less (65% of $72,800,000) — which, if that route is taken, should be coordinated with the loan-to-cost reduction in Item M-1 so that a single reduced commitment satisfies both. Section 8.2 of the Draft Agreement recites the conflict, requires an election before closing, and contains an express representation that no Advance will be made while the covenant as stated is breached.

Item M-10 — The interest reserve is probably insufficient, and the model that concludes otherwise uses inconsistent assumptions.

What the record says. The Interest Reserve is $4,850,000 (Term Sheet Section 10; Credit Memorandum Section 6.2). The Borrower's Budget and Draw Schedule models the reserve at an assumed SOFR of 3.50%, an all-in construction rate of 6.75%, and monthly interest computed as the outstanding balance multiplied by the annual rate divided by twelve; on that basis it reports total projected interest of $4,628,675, a surplus of $221,325, and the conclusion "APPEARS ADEQUATE." Its own sensitivity table, on the same page, shows a shortfall of $365,830 at the SOFR of 4.35% that the Term Sheet, the Credit Memorandum and the Appraisal each use as the current rate. Section 6.2 of the Credit Memorandum, using an average-balance method, estimates total interest of $5,415,000 and a shortfall of $565,000, rising to $1,278,000 at SOFR of 5.35%.

Analysis. We recomputed the reserve three ways. (a) Scaling the Borrower's model to 7.60% gives total interest of about $5,211,500, a shortfall of about $361,500. (b) An independent month-by-month model using the Borrower's own draw timing and the actual/360 day count required by Section 3.3 of the Term Sheet gives total interest of $5,228,689 at SOFR of 4.35%, a shortfall of $378,689; at SOFR of 3.50% it gives $4,643,902, a surplus of only $206,098. (c) The Credit Memorandum's average-balance method gives $5,415,000 and a $565,000 shortfall. The range is $361,000 to $565,000 of shortfall at current rates. Two methodological defects explain why the Borrower's headline conclusion is too favorable: the model divides

by twelve months instead of applying the actual/360 day count that the loan documents require, which understates accrued interest by about 1.39% (roughly $64,000 over the construction period); and the "adequate" conclusion rests on a 3.50% SOFR assumption that is inconsistent with the 4.35% used everywhere else in the transaction. We also note that the Credit Memorandum approves the reserve "as adequate based on current rate assumptions" while simultaneously stating that it is approximately $565,000 short — a conclusion that cannot be reconciled with its own analysis and that should not appear in the credit file unexplained.

Recommendation. Prefer to increase the Interest Reserve to not less than $5,400,000, funded from the Mezzanine Loan or from verified equity rather than from the senior Loan, which would require a conforming adjustment to the sources and uses and to Item M-1. If the reserve is left at $4,850,000, the mandatory replenishment covenant, the per-draw adequacy test, the monthly reconciliation and the Carry Guaranty become the credit's only protection, and the Draft Agreement should say so expressly rather than presenting the reserve as sufficient. Sections 4.7 and 4.8 implement the second approach and include the Borrower's acknowledgment of the modeling inconsistency.

Item M-11 — The draw schedule does not reconcile, and the ten percent retainage is not in fact withheld.

What the record says. Section 9.1 of the Term Sheet and Section 7.1 of the Credit Memorandum both impose a 10% retainage on hard construction cost disbursements, released at Draw 9 after the certificate of occupancy. The draw schedule in the Borrower's Budget and Draw Schedule shows nine draws totalling $47,500,000.

Analysis. We reconciled the schedule line by line and it does not hold together. (a) The "Hard Costs (gross)" column totals $38,225,000 against a GMP of $34,750,000; the excess is exactly $3,475,000, which is the 10% retainage, so the retainage is being counted twice — once inside each draw and once again as the final draw. (b) Each draw's "Total Draw Amount" equals its gross hard cost amount rather than its net-of-retainage amount, so no retainage is actually withheld at any draw. (c) Draw 9 is labelled "Retainage Release" but is $3,275,000, which is $200,000 less than the $3,475,000 holdback and exactly equal to the senior-funded developer fee plus contingency ($1,835,000 + $1,440,000 = $3,275,000), which indicates that the final draw was intended to fund the developer fee and contingency rather than the retainage. (d) The "Developer Fee" and "Contingency" columns allocated to Draws 6 through 9 total only $1,842,500 against the $3,275,000 that the detailed budget requires the senior Loan to fund. The consequence is that the Lender's stated control — a 10% holdback until the certificate of occupancy and final lien waivers — does not exist in the document the Lender would be administering the loan against.

Recommendation. Adopt a reconciled schedule. Exhibit D of the Draft Agreement restates the schedule in two parts that reconcile: Part 1 shows gross hard cost,

retainage withheld, net advances and cumulative net advances, with retainage of $3,475,000 withheld and released; Part 2 shows the $12,750,000 of non-hard-cost and other advances (soft costs, interest reserve, origination fee, the senior-funded developer fee of $1,835,000 and the contingency of $1,440,000); and the two parts total $47,500,000. Sections 4.5, 4.6 and 4.10 of the Draft Agreement implement the retainage and contingency mechanics. The Borrower will need to accept that its draw schedule has been re-cut, which will affect its cash flow during construction because 10% of hard costs will now genuinely be withheld until after the certificate of occupancy.

Item M-12 — Mezzanine interest is paid in kind and is not in the budget.

What the record says. Section 1.4 of the Term Sheet states that the Mezzanine Loan bears interest at a fixed 12.50% and matures coterminously with the senior Loan. Section 4.4 of the Credit Memorandum adds that interest "accrues and is paid-in-kind during construction" and is cash-pay during the mini-perm. The detailed budget in the Borrower's Budget and Draw Schedule shows the Mezzanine Loan funding $8,200,000 of land acquisition cost and $1,000,000 of developer fee, and shows no line item for mezzanine interest, any mezzanine fee, or capitalized interest.

Analysis. At 12.50% on $9,200,000, the Mezzanine Loan accrues $1,150,000 of interest per year, or approximately $2,875,000 over a 30-month construction period, all of which is added to principal. The mezzanine balance at the Construction Maturity Date would be approximately $12,075,000, not $9,200,000. Combined debt at completion would then be approximately $59,575,000 — about 105% of total project costs and about 81.8% of the as-completed value, compared with the 65.25% senior LTV on which the credit is being approved. The Credit Memorandum's observation that combined leverage is "100%" therefore understates the position by the amount of the accrual, and the Credit Memorandum does not analyze it. The mini-perm conversion to cash-pay creates a second issue: the Borrower must begin paying $1,150,000 a year of cash interest on the Mezzanine Loan at a point (August 2027) when the Project will just have received its certificate of occupancy and will not be stabilized until approximately May 2028, which the Borrower has no budgeted source to fund.

Recommendation. Obtain the executed Mezzanine Documents and a full amortization schedule showing all payment-in-kind accruals; disclose the projected mezzanine balance at maturity in the credit file; require the Intercreditor Agreement to prohibit mezzanine amendments and additional advances without the Lender's consent; add a reporting covenant requiring quarterly certification of the accrued and unpaid mezzanine balance; and consider conditioning the later advances or the extension on evidence that the Borrower can service the cash-pay requirement. Sections 3.11, 6.13, 7.11 and Exhibit F implement this.

Item M-13 — The partial repayment guaranty's amount and structure are described inconsistently.

What the record says. Section 7.3 of the Term Sheet requires a partial repayment guaranty "in the amount of 25% of the Loan Amount (25% × $47,500,000 = $11,875,000)," joint and several, "meaning that each Guarantor shall be individually liable for the full guaranteed amount," subject to bad-boy carve-outs that may convert it to full recourse. Section 4.3 of the Credit Memorandum states that "each guarantor will provide a 25% partial repayment guaranty — 25% of the loan amount of $47,500,000 = $11,875,000 per guarantor," and describes it as "a payment guaranty obligating each guarantor to pay the Bank up to $11,875,000 in the event of a payment default or other event of default." Section 2.3.3 of the Credit Memorandum analyzes each guarantor's $11,875,000 exposure as approximately 39.8% of Ms. Vasquez-Torres's net worth and 103.3% of Mr. Osei's.

Analysis. The Term Sheet and the Credit Memorandum's Section 2.3.3 treat the guaranty as a single $11,875,000 joint and several obligation, which is coherent. Section 4.3's "per guarantor" formulation could be read as $11,875,000 of exposure for each guarantor — $23,750,000 in the aggregate, or 50% of the Loan. Separately, Section 4.3's statement that the guaranty responds "in the event of a payment default or other event of default" describes a general payment guaranty, which is a materially more onerous instrument than the partial repayment guaranty with bad-boy conversion that the Term Sheet contemplates. The Draft Agreement adopts the Term Sheet's single joint and several obligation of $11,875,000 and confines the full-recourse conversion to defined Recourse Triggers, subject to a $100,000 materiality threshold (except for fraud, bankruptcy and environmental matters). Two credit observations follow: the guaranty is 3.71 times Mr. Osei's liquid assets and 1.28 times combined guarantor liquidity, so the bad-boy conversion is not meaningfully supported for that guarantor; and the Guarantors' net worth is concentrated 65% and 59% in real estate, which the Credit Memorandum notes.

Recommendation. Confirm with credit which structure was approved and conform the Credit Memorandum. Our recommendation is the Term Sheet formulation. Consider also obtaining a guaranty from Brightleaf Investors Group LLC, or at a minimum its written consent to the pledge and the intercreditor terms, given that it holds the effective veto (Item M-2) and has posted no capital (Item M-16). Section 10.3 and Section 10.5 of the Draft Agreement implement the Term Sheet formulation.

Item M-14 — The guarantor net worth default refers to a covenant that does not exist.

What the record says. The final bullet of Section 15 of the Term Sheet makes it an Event of Default if "any Guarantor's net worth falls below the minimum threshold set forth in Section 6.4." Section 6.4 is the Borrower's net worth covenant

($12,000,000). No guarantor net worth covenant appears anywhere in the Term Sheet.

Analysis. The cross-reference is defective: there is no guarantor net worth threshold to fall below, and if the covenant were read as importing the Borrower's $12,000,000 figure it would be measured against the wrong entity. An event of default that cannot be triggered is not harmful in itself, but it will surface in negotiation and it signals that the financial covenants were not conformed across documents.

Recommendation. Either delete the trigger or add a substantive guarantor net worth covenant. The Draft Agreement adopts a $15,000,000 per-Guarantor floor in Section 11.13(c) and a $1,500,000 individual liquidity floor in Section 8.5; if credit prefers a different figure it should be set deliberately rather than by cross-reference. These thresholds are Lender proposals not found in the Term Sheet and should be identified as such in the commitment letter.

Item M-16 — The land contribution is described four different ways, and one of those descriptions would make $8,200,000 of loan proceeds a return of members' capital.

What the record says. There are four versions. (a) Section 5.1 of the Term Sheet shows "Borrower Equity (land previously acquired; see Uses below) — $0" as a source, while the uses include $8,200,000 of land acquisition cost, and the accompanying text says the land "is contributed to the Project as the Borrower's equity." (b) Section 2.2 of the Credit Memorandum says the land "was acquired by Ms. Vasquez-Torres on behalf of the Borrower through capital calls from all three members, including Brightleaf Investors Group LLC." (c) Section 1.3 of the Organization Materials and Section 5.1 of the Operating Agreement say the land was contributed by Ms. Vasquez-Torres alone at a cost basis of $8,200,000 in exchange for her 62% interest, that Brightleaf Investors Group LLC contributed $0 cash and received 28% "in consideration of its commitment to arrange third-party mezzanine financing," and that Mr. Osei contributed $0 cash and received 10% for development management services, with total member equity to date of $8,200,000. (d) The detailed budget in the Borrower's Budget and Draw Schedule shows the $8,200,000 land acquisition cost as "Funded by Mezzanine Loan," with a note that it was "funded by mezzanine loan proceeds and member capital calls." The Title Commitment shows title vesting by deed dated June 12, 2023 from Foster Street Properties LLC; the Phase I ESA says the Borrower acquired the property in 2022; the Appraisal says the price was paid "in early 2024"; and the Operating Agreement describes a contribution on formation in 2019.

Analysis. These are not variations in emphasis; they are different capital structures. If the land is genuine in-kind equity already owned free of the Loan, then sources ($47,500,000 senior + $9,200,000 mezzanine + $8,200,000 land = $64,900,000) exceed uses ($56,700,000) by $8,200,000, which means the Mezzanine Loan is $8,200,000 larger than the Project needs and $8,200,000 of

proceeds is available to reimburse members' capital at or after closing — a distribution to members during the Construction Period, which Section 14 of the Term Sheet prohibits except for the developer fee. If instead the land was acquired with debt that will be repaid from proceeds (which is what the detailed budget and the existence of the Triangle Commercial Bank deed of trust suggest), then the Borrower has $0 of contributed capital and the "land equity" on which the loan-to-cost discussion, the HVCRE analysis and the credit's comfort about "embedded equity" all rest is not equity at all. The Organization Materials also confirm that Brightleaf Investors Group LLC's 28% interest was issued not for cash but for arranging the affiliated mezzanine loan, which strengthens the circular-funding concern the Credit Memorandum raises.

Recommendation. Require, before closing, a reconciled single sources and uses statement, a funds tracing for the $8,200,000 land cost (closing statement for the deed, capital call notices, bank records), and confirmation that no portion of Loan or Mezzanine Loan proceeds will be distributed to or applied for the account of any member. Confirm the acquisition date and grantor against the recorded deed rather than against the summaries. The Draft Agreement addresses this through Section 2.2 (prohibited uses), Section 3.13 (tracing and reconciliation), Section 5.6(c) (an express representation about the inconsistency), Section 4.9 (source-of-funds certification) and Section 7.6 (restrictions on distributions). Exhibit C carries a note requiring the reconciled statement.

Item M-18 — The HVCRE conclusion depends on the same land question and on a valuation convention.

What the record says. Section 12 of the Credit Memorandum computes contributed capital of $10,340,000 ($2,140,000 equity escrow plus $8,200,000 land at cost) as 14.2% of the $72,800,000 as-completed value, below the 15% threshold, requiring $580,000 more to avoid HVCRE classification, and accepts the classification and the 150% risk weight.

Analysis. We confirm the arithmetic: $10,340,000 ÷ $72,800,000 = 14.20%; 15% of $72,800,000 = $10,920,000; the gap is $580,000. The conclusion, however, is sensitive to two inputs the record does not settle. First, if the land is measured at its appraised value rather than cost, contributed capital is $11,040,000 and the ratio is 15.16%, which would avoid the classification. Second, and more importantly, if the land was acquired with debt and the acquisition cost is effectively refinanced from proceeds, the land may not count as contributed capital at all, in which case contributed capital is $2,140,000 and the ratio is 2.9%. We express no concluded view on the regulatory treatment; the point is that the classification should be determined by the Bank's regulatory reporting group on the reconciled facts (Item M-16), not assumed from a computation that treats the land both as equity and as debt-funded depending on which document is open.

Recommendation. Refer to the Bank's capital reporting function after the sources and uses are reconciled. If the Bank wishes to avoid HVCRE classification, the

cheapest route is to increase verified contributed capital to $10,920,000, which is a different (and smaller) fix than the loan-to-cost problem in Item M-1 and should not be conflated with it.

Item M-22 — The appraisal record is incomplete, and the appraiser's operating expenses omit a known recurring cost.

What the record says. We have the Executive Summary only; the full report is described as approximately 187 pages. Section 4 of the Term Sheet states that the appraisal "has been reviewed by the Lender's internal appraisal review department," but no review memorandum is in the record. The Appraisal Summary states that its conclusions are subject to extraordinary assumptions, including that the borrower will comply with the NFA use restriction or obtain a modification (Item M-6), and that it has not adjusted value for the restriction. The Title Commitment, Schedule B, Part II, Exception 11(b), states that the Declaration imposes assessments "currently assessed at a rate of $0.12 per square foot of gross building area per annum."

Analysis. Two points. First, FIRREA and the OCC appraisal regulations require the institution to obtain and review an appraisal; relying on a summary and on a review memorandum that is not in the record is a supervisory exposure independent of the credit. Second, the appraiser's operating expense schedule ($1,262,100) contains no line for the Association assessment. At $0.12 per square foot on 287,500 square feet of gross building area, that is $34,500 per year of omitted expense. Adjusting NOI to $4,842,300 reduces the as-stabilized value at the appraiser's 6.40% capitalization rate to $75,660,938, an LTV of 62.78%, and the DSCR to 1.299x — still compliant, but the cushion is thinner than presented. Combining the omitted assessment with the loss of 14 units (Item M-6) gives NOI of $4,465,140, a value of $69,767,812, an LTV of 68.08% and a DSCR of 1.197x, both of which breach the covenants. The Association assessment is also an encumbrance with lien potential under Article VII of the Declaration and should be treated as a recurring cost from the outset.

Recommendation. Obtain the full report and the appraisal review memorandum; require the appraiser to confirm in writing whether the assessment is included in operating expenses and, if not, to provide a revised value conclusion; add the assessment to the operating expense covenant and the reporting requirements; and consider requiring the Association's estoppel as to assessments. The Draft Agreement addresses this through Section 6.8 (payment of assessments), Section 6.15 (Association compliance) and the definition of Net Operating Income, which expressly includes Association assessments.

Tier 3 — Cross-document inconsistencies to be corrected in the documentation

Item M-8 — Conflicting flood determinations. The Appraisal places the Property in Zone X on FIRM Community Panel 3710406400J, effective May 2, 2019; the Phase I ESA places it in Zone X on FIRM Panel 3720098700J, effective

March 2, 2009. Both conclude that no portion is in a Special Flood Hazard Area, so the practical consequence is limited, but a lender's flood determination is a regulatory requirement and cannot rest on two inconsistent panel references. *Recommendation:* obtain a current Standard Flood Hazard Determination at closing as Section 3.19 of the Draft Agreement requires; retain the flood insurance covenant notwithstanding the Zone X conclusion.

Item M-15 — The DSCR test at the commencement of the mini-perm period cannot be performed as drafted. Section 6.3 of the Term Sheet requires the DSCR to be "tested at the commencement of the Mini-Perm Period and annually thereafter based on actual trailing twelve-month net operating income." At August 28, 2027 the Project will at best have just received its certificate of occupancy; the Appraisal projects stabilization in May 2028. There will be no trailing twelve-month operating history, and requiring one is a mechanical default at the start of the mini-perm. *Recommendation:* test on a projected basis at commencement and on a trailing twelve-month basis only after achievement of Stabilized Occupancy, as Section 8.3 of the Draft Agreement provides; align the extension test with the Credit Memorandum's 1.15x threshold on annualized three-month in-place NOI.

Item M-17 — The $12,000,000 Borrower net worth covenant may not be sustainable. The Credit Memorandum states current Borrower net worth of $14,200,000 against a $12,000,000 covenant — a cushion of $2,200,000. But the Borrower is an SPE whose assets are the Property and whose equity is the land; as soft costs are expensed and the developer fee is paid, book net worth will fall, and the covenant as stated does not specify whether net worth is measured on a GAAP basis, on a tax basis, or inclusive of the Loan proceeds. A covenant whose method is undefined will be disputed. *Recommendation:* define the method (Section 1.3 of the Draft Agreement does), confirm with credit that the covenant is intended to be measured on a basis the Borrower can actually maintain, and provide the thirty-day cure and equity-contribution mechanism in Section 8.4.

Item M-19 — The environmental report and the appraisal disagree on the basic facts of the release. The Phase I ESA describes a 2,000-gallon diesel underground storage tank associated with a backup generator, installed at approximately 1972, removed at approximately 1998, with no closure records located (recorded as a data gap). The Appraisal describes a tank "originally installed in the 1950s in connection with the former tobacco warehouse operations" and "used for the storage of heating oil," not in use since approximately 1988. Remediation volumes also differ: the Phase I ESA reports approximately 1,200 cubic yards excavated; the Appraisal reports approximately 320 cubic yards; the Credit Memorandum reports approximately 340 cubic yards. Three different quantities for the same excavation is a reliable indicator that at least two of the three documents did not work from the remediation completion report. *Recommendation:* obtain the Phase II report and the remediation completion report and conform the environmental recitals in the loan documents to them; the Draft Agreement's environmental representations (Section 5.9) avoid

adopting any of the conflicting versions and require delivery of the underlying reports.

Item M-20 — The extension option's conditions and fee are new economics. Section 3.2 of the Term Sheet grants one six-month extension "subject to satisfaction of customary conditions to be determined and set forth in the definitive Loan Agreement," and says nothing about an extension fee. Section 11 of the Credit Memorandum proposes ten conditions plus a 0.25% extension fee, a 1.15x DSCR, a 75% occupancy test, an interest rate cap and an updated appraisal at 70% LTV or less. The Lender may propose these, but they are not agreed terms, and the Borrower can be expected to resist the fee and the cap in particular. *Recommendation:* include them in the commitment letter as express conditions rather than treating them as "customary conditions," and note that the interest rate cap is the item the stress test (1.04x at a 200 basis point increase) most clearly justifies. Section 2.12 of the Draft Agreement contains the full set and flags its status.

Item M-21 — Architectural review approval: the appraisal assumes it, the title officer says there is no evidence of it. The Appraisal states that "the architectural design has been reviewed and approved by the Brightleaf Historic District Association in accordance with the CC&Rs." The Title Commitment's Title Officer note to Exception 11 states that the Company "has not received evidence that the current project plans … have been submitted to or approved by" the Architectural Review Committee, and warns of the Association's right to seek injunctive relief to halt construction that has not received ARC approval. The Declaration requires submission at least 90 days before construction commences, with approval or deemed approval after 60 days. *Recommendation:* obtain written ARC approval or evidence that the deemed-approval period has run, and any available estoppel, consent to the Deed of Trust or subordination, as Section 3.15 of the Draft Agreement requires. Do not rely on the appraisal's assumption.

Item M-23 — Environmental deliverables and reliance. The Phase I ESA refers to a reliance letter (Appendix G) that is not in the record, and names the Lender at "200 South Tryon Street," whereas the Term Sheet, the Credit Memorandum and the Appraisal all give 215 South Tryon Street; a reliance letter that names the wrong address (and possibly the wrong entity) does not give the Lender the protection it is paying for. The Phase II report is available only as summarized in the Phase I ESA. The consultant's aggregate liability is capped at its $12,500 fee, which invites the pollution legal liability policy the Phase I ESA recommends. *Recommendation:* obtain the reliance letter naming the Lender correctly, the Phase II report, the NFA Letter and the remediation completion report; consider PLL insurance and price it before closing. Section 3.6 requires the reliance letter.

Item M-24 — Term Sheet defects to be corrected in the Loan Agreement rather than carried forward. (a) Section 3.1 describes a "single advance facility"

while Section 9 provides nine milestone draws and Section 3.4 imposes an unused line fee on undrawn amounts; a single-advance facility has no undrawn commitment after closing. The Draft Agreement treats the Loan as a multiple-advance facility (Section 2.1). (b) Section 22 describes the $75,000 expense deposit as "non-refundable" and then provides that any unused portion "shall be returned to the Borrower" if the loan does not close; those provisions cannot both be given effect. (c) Section 11 requires "payment of the origination fee" as a closing condition while Section 3.4 permits it to be funded from loan proceeds, which makes the condition circular; the Draft Agreement funds it from proceeds and treats it as satisfied at closing (Section 2.10(a)). (d) Section 9.1 requires partial lien waivers "for work performed through the date of the draw request" whereas Section 7.2 of the Credit Memorandum requires them through the prior draw period; the Draft Agreement adopts the prior draw period (Section 4.2(d)) so that waivers can be delivered with the draw package. (e) The Permitted Exceptions list in Section 18 omits the land use restriction the NFA Letter requires and the Association's assessment lien; Exhibit E adds both. (f) Section 7.3's bad-boy triggers include "environmental liability" and "waste" without materiality thresholds, which produces an over-broad full-recourse conversion; Section 10.5 of the Draft Agreement adds a $100,000 threshold except for fraud, bankruptcy and environmental matters.

4. Table of Conflicting Statements of the Same Fact

The following table isolates the places where two or more source documents state different versions of the same fact. Each must be resolved before the corresponding loan document provision can be finalized.

Fact	Version A	Version B	Version C	Which governs
Individual parcel acreage	Title Commitment: 2.09 ac (Parcel 1) and 1.38 ac (Parcel 2)	Phase I ESA: 1.89 ac and 1.58 ac	—	Recorded legal description, confirmed by survey
Parcel orientation	Title Commitment: Parcel 2 directly south of Parcel 1; Foster Street on the west	Phase I ESA: "western" and "eastern" parcels; Foster Street on the north	—	Survey (Exhibit A)
Foster Street frontage	Legal descriptions imply about 500.5 ft	Appraisal: about 420 ft	—	Survey
Date and grantor of land acquisition	Title Commitment: deed dated June 12, 2023 from Foster Street Properties LLC	Phase I ESA: acquired 2022; Appraisal: paid "in early 2024"; Operating Agreement: contributed on formation in 2019	—	Recorded deed; closing statement
Source of the $8,200,000 land cost	Organization Materials / Operating Agreement: contributed by Ms. Vasquez-Torres alone	Credit Memorandum: capital calls from all three members	Borrower's Budget: "Funded by Mezzanine Loan"	Reconciled sources and uses plus funds tracing (M-16)
Current SOFR used in the interest reserve model	Borrower's Budget: 3.50% ("APPEARS ADEQUATE")	Term Sheet §4, Credit Memorandum §6.2, Appraisal: 4.35%	Credit Memorandum §6.2 reaches a shortfall on the same 4.35%	4.35% is the current rate; reserve is short (M-10)

Fact	Version A	Version B	Version C	Which governs
Interest reserve sufficiency	Borrower's Budget: surplus of $221,325	Borrower's Budget sensitivity table at 4.35%: shortfall of $365,830; Credit Memorandum: shortfall of $565,000; our recomputation: $378,689	—	Reserve is insufficient (M-10)
Retainage	Term Sheet §9.1 and Credit Memorandum §7.1: 10% held, released post-CO	Draw schedule: no retainage withheld; draw 9 of $3,275,000 (9.42%) labelled "Retainage Release"	—	10% of GMP = $3,475,000 (M-11)
Partial repayment guaranty	Term Sheet §7.3: single joint and several $11,875,000	Credit Memorandum §4.3: "$11,875,000 per guarantor," payable on any default	Credit Memorandum §2.3.3 analyzes a single $11,875,000 obligation per guarantor	Term Sheet §7.3 (M-13)
Land use restriction and deed notice	Phase I ESA: required; deed due November 29, 2024; not recorded as of October 28, 2024	Title Commitment (effective December 5, 2024): no land use restriction or deed notice in Schedule B-II	Term Sheet §17: NFA "authorizes commercial use" conditioned only on a vapor system	NCDEQ NFA Letter; obtain the recorded instrument (M-6)
Residential units above the restricted area	Credit Memorandum: 14 units positioned above the area	Phase I ESA: not verified; recommends an overlay	Appraisal: expresses no opinion and makes no valuation adjustment	Architect/ consultant overlay (M-6, M-7)
Architectural review approval	Appraisal: design "has been reviewed and approved" by the Association	Title Commitment: no evidence of submission or approval received	—	Written ARC approval or deemed approval (M-21)
Underground storage tank	Phase I ESA: 2,000-gallon diesel, backup generator, installed c.1972, removed c.1998	Appraisal: installed in the 1950s, heating oil, unused since 1988	—	Phase II and remediation completion reports (M-19)
Volume of soil remediated	Phase I ESA: about 1,200 cubic yards	Appraisal: about 320 cubic yards	Credit Memorandum: about 340 cubic yards	Remediation completion report (M-19)
FEMA flood panel	Appraisal: Panel 3710406400J, effective May 2, 2019	Phase I ESA: Panel 3720098700J, effective March 2, 2009	—	Current flood determination certificate (M-8)
Maximum LTV	Term Sheet §§4 and 6.2: 65% as-completed and as-stabilized	Credit Memorandum §6.1: "Bank Policy" 70%	Actual as-completed ratio: 65.25%	Election required before closing (M-9)
Guarantor net worth default	Term Sheet §15: refers to "the minimum threshold set forth in Section 6.4"	Term Sheet §6.4: the Borrower's $12,000,000 covenant; no guarantor threshold exists	—	Delete the trigger or add a covenant (M-14)
Status of the intercreditor agreement	Term Sheet §1.4: "currently under negotiation"	Credit Memorandum §4.4: "in the process of being negotiated"	Organization Materials: "negotiated but is not yet executed"	Executed agreement at closing (M-3)
Lender address for environmental reliance	Phase I ESA reliance party: 200 South Tryon Street	Term Sheet, Credit Memorandum, Appraisal: 215 South Tryon Street	—	Correct reliance letter (M-23)

5. Treatment of Unresolved Items in the Draft Agreement

5.1 Approach. Where the record supports a term, the Draft Agreement states it. Where the record is silent or conflicting and the point is commercially material, the Draft Agreement either (a) adopts the Term Sheet position and flags the conflict in a bracketed note referencing the item number in this memorandum, or (b) leaves a bracketed blank for the Lender's election. Consistent with the instruction that inapplicable items be identified rather than silently omitted, the following are expressly addressed in the Draft Agreement as inapplicable to this transaction: ERISA and plan asset rules (Section 5.15), the Investment Company Act (Section 5.15), margin regulations (Section 5.15), and the release-of-claims and reference-of-consumer provisions that would appear in a settlement or media agreement (none, because this is an origination, not a workout or release). The single-advance characterization in Section 3.1 of the Term Sheet is not carried forward for the reason given in Item M-24(a).

5.2 Bracketed items requiring an election before the Draft is sent to the Borrower. The Commitment (Section 2.1 and Section 3.9 — $47,500,000 or the Reduced Commitment of $45,360,000); the LTV covenant (Section 8.2 — 65% or 70%); the Interest Reserve (Section 4.7 — $4,850,000 with replenishment, or an increased reserve); the Guarantor net worth and individual liquidity floors (Section 8.5 and Section 11.13(c)); whether the environmental use conflict is a closing condition or a condition to advances within the Restricted Area (Section 6.5(d)); and whether an interest rate cap is required at the commencement of the mini-perm or only as an extension condition (Section 2.12).

5.3 Conditions the Lender should expect the Borrower to resist. The $2,140,000 equity escrow and any reduction of the Commitment (Item M-1); the amendment of Operating Agreement Articles III and IX (Item M-2); the independent manager with a bankruptcy veto (Item M-2); the non-consolidation opinion; the $1,500,000 individual guarantor liquidity floor; the guarantor net worth floor; the 0.25% extension fee and the interest rate cap (Item M-20); and the re-cut draw schedule with genuine 10% retainage (Item M-11). Each is supportable on the record, but each should be identified in the commitment letter as a condition so that the Borrower's expectations are set before the documentation is circulated.

6. Independent Recomputations

6.1 Method. We recomputed each figure below from its components rather than accepting the stated result, and we recomputed the interest reserve a second time using an independently constructed month-by-month model applying the Borrower's own draw timing and an actual/360 day count.

Figure	Stated	Recomputed	Result
Total project costs	$56,700,000	$56,700,000	Agrees

Figure	Stated	Recomputed	Result
Sources of funds	$56,700,000	$56,700,000	Agrees, but omits the Triangle payoff (M-5)
Developer fee at 5% of total project cost	$2,835,000	$2,835,000	Agrees
Origination fee at 1%	$475,000	$475,000	Agrees
Loan-to-cost ratio	83.77%	83.7743%	Exceeds 80% (M-1)
Maximum loan at 80% LTC / dollar gap	$45,360,000 / $2,140,000	$45,360,000 / $2,140,000	Agrees
LTV as-completed	65.25%	65.2473%	Exceeds the Term Sheet's 65% (M-9)
LTV as-stabilized	62.34%	62.3360%	Agrees
Gross potential income	$6,462,000	$6,462,000	Agrees
Vacancy at 5%	$323,100	$323,100	Agrees
Effective gross income	$6,138,900	$6,138,900	Agrees
Net operating income	$4,876,800	$4,876,800	Agrees
Operating expense ratio	20.6%	20.56%	Agrees
Implied capitalization rate	6.40%	6.40%	Agrees
As-completed value (stabilized less $3,400,000)	$72,800,000	$72,800,000	Agrees
Lease-up deduction components	$3,400,000	$3,400,000	Agrees
Annual interest at 7.85%	$3,728,750	$3,728,750	Agrees
DSCR (stabilized, interest only)	1.31x	1.3079x	Agrees
DSCR (stress, +200 bp)	1.04x	1.0423x	Agrees; breaches 1.25x
Sum of nine draws	$47,500,000	$47,500,000	Agrees in total; allocation does not (M-11)
Draw 1 components	$9,475,000	$9,475,000	Agrees
10% retainage of GMP	—	$3,475,000	Draw 9 is $3,275,000 (M-11)
Hard cost column of the draw schedule	—	$38,225,000	Exceeds GMP by $3,475,000 (M-11)
Developer fee and contingency to be senior-funded	$3,275,000	$3,275,000	Allocated only $1,842,500 (M-11)
Interest reserve, SOFR 3.50%	surplus $221,325	surplus $206,098 (our model)	Agrees in direction (M-10)
Interest reserve, SOFR 4.35%	shortfall $365,830	shortfall $378,689 (our model); $565,000 per credit memo	Reserve is short (M-10)
Day-count effect (12 divisor vs actual/360)	not addressed	+1.39% (about $64,000)	Understates interest (M-10)
Partial repayment guaranty at 25%	$11,875,000	$11,875,000	Agrees (M-13 as to structure)
Guarantor net worth / liquidity	$41,300,000 / $9,300,000	$41,300,000 / $9,300,000	Agrees
Liquidity coverage	1.86x	1.86x	Agrees
Partial guaranty as % of each Guarantor's net worth	39.8% / 103.3%	39.85% / 103.26%	Agrees
HVCRE contributed capital	14.2%	14.20%; 15.16% at appraised land value; 2.9% if land excluded	Sensitive to M-16 / M-18

Figure	Stated	Recomputed	Result
Land value (3.47 ac at $2,565,000 per acre)	$8,900,000	$8,900,550, rounded	Agrees
Units, areas and parking ratio	212 units; 287,500 SF; 276 spaces	180,650 residential + 18,400 retail = 199,050 SF; 1.3019 spaces per unit	Agrees
Parcel areas from metes and bounds	2.09 / 1.38 ac	91,204 SF (2.094 ac) / 60,087 SF (1.379 ac)	Title figures are correct; Phase I figures are not (M-7)
Association assessment omitted from operating expenses	none	287,500 SF × $0.12 = $34,500 per year	Omitted (M-22)
Effect of losing 14 units	DSCR 1.21x	NOI $4,499,640; DSCR 1.2067x; value $70,306,875; LTV 67.56%	Also breaches the LTV covenant (M-6)
Effect of the omitted assessment plus 14 units	not modeled	NOI $4,465,140; value $69,767,812; LTV 68.08%; DSCR 1.1975x	Compounding breach (M-6, M-22)
Mezzanine balance at construction maturity (PIK)	not modeled	$9,200,000 + ($9,200,000 × 12.50% × 2.5) = $12,075,000	Combined debt about $59,575,000, or 81.8% of as-completed value (M-12)
Key dates	Construction maturity August 28, 2027; mini-perm maturity August 28, 2028; extended maturity February 28, 2029	February 28, 2025 plus 30 months = August 28, 2027; plus 12 months = August 28, 2028; plus 6 months = February 28, 2029	Agrees
Projected substantial completion versus construction maturity	August 31, 2027 versus August 28, 2027	Three-day gap	See Item M-24(f) and Section 4.14 of the Draft Agreement
Title Commitment expiration and Phase I ESA shelf life	June 5, 2025; April 26, 2025	December 5, 2024 plus 6 months; October 28, 2024 plus 180 days	Agrees; both support a February 28, 2025 closing
Term Sheet exclusivity period	60 days through March 11, 2025	January 10, 2025 plus 60 days	Agrees

6.2 Items we could not verify. The following cannot be verified from the record and are therefore assumptions, not findings: the outstanding principal balance of the Triangle Commercial Bank deed of trust; the amount of the Mezzanine Loan outstanding at any date, including payment-in-kind accruals; whether the deed notice and land use restriction have been recorded; whether a UCC-1 financing statement has been filed by the Mezzanine Lender against the Borrower; the Borrower’s net worth on a defined basis; the existence and terms of any guaranty given to Triangle Commercial Bank; and the accuracy of the Borrower’s $56,700,000 budget beyond the arithmetic.

7. Completeness Check of the Draft Agreement

Required provision	Status	Location
Defined terms, interpretation, accounting conventions	Included	Art. I
Commitment, purpose, note, interest, SOFR floor, default rate, usury savings	Included	§§ 2.1–2.8
Payments, fees (origination, exit, unused line, extension), late charge, prepayment	Included	§§ 2.9–2.11

Required provision	Status	Location
Extension option with conditions	Included; flagged as new economics	§ 2.12
Benchmark replacement (ARRC) and yield protection	Included	§§ 2.14–2.15
Conditions precedent to closing (20 items)	Included	Art. III
Conditions precedent to each advance (12 items)	Included	§ 4.4
Retainage, retainage release, interest reserve, adequacy testing, equity first, contingency	Included	§§ 4.5–4.10
Change orders and cost overruns	Included	§ 4.11
Representations and warranties, including environmental and SPE	Included	Art. V
Affirmative covenants and reporting	Included	Art. VI
Negative covenants, including transfers and distributions	Included	Art. VII
Financial covenants (LTC, LTV, DSCR, net worth, liquidity) with testing mechanics	Included; elections flagged	Art. VIII
Collateral, deed of trust, assignment of rents, UCC, pledges, priority, release	Included	Art. IX
Completion, carry, partial repayment and environmental guaranties; recourse triggers	Included	Art. X
Events of default with notice and cure periods	Included	Art. XI
Remedies, including power of sale, receivership, setoff, no election	Included	Art. XII
Indemnities with carve-outs, expense reimbursement, contest rights, survival	Included	Art. XIII
SPE separateness covenants, independent manager, non-consolidation opinion	Included	Art. XIV
Notices, governing law, venue, jury waiver, assignment, amendments, entire agreement, confidentiality, OFAC, attorneys' fees, survival	Included	Art. XV
Environmental covenants keyed to the NFA Letter and the use restriction	Included	§§ 6.5, 7.10, 11.11
Schedules and exhibits, each cross-referenced in the body	Included (A–H)	Exhibits
Release of claims / non-waivable statutory rights	Inapplicable — no release is taken in an origination	§ 5.15, § 10.7
ERISA, Investment Company Act, margin regulations	Inapplicable — stated as such rather than omitted	§ 5.15
Reference or cooperation (publicity) terms typical of settlement agreements	Inapplicable	§ 15.11 (confidentiality only)
Mezzanine/intercreditor interface	Included; dependent on the executed agreement	§§ 3.11, 7.11, 9.6

8. Open Items and Documents Required

8.1 Documents to obtain before the Draft Agreement is circulated for negotiation.

Item	Source	Needed for
Payoff letter for the Triangle Commercial Bank deed of trust	Triangle Commercial Bank or successor	M-5
Executed Intercreditor Agreement; the Mezzanine Documents and amortization schedule	Borrower / Mezzanine Lender	M-3, M-12
NCDEQ No Further Action letter; recorded land use restriction and deed notice with recording stamp	Borrower / Title Insurer	M-6
Phase II Environmental Site Assessment (SEC-2024-1089); remediation completion report; reliance letter corrected to the Lender’s proper name and address	Sentinel	M-19, M-23
Full appraisal report and the Lender’s internal appraisal review memorandum	Ridgeline / Credit Administration	M-22
ALTA/NSPS Survey, and the architect’s and environmental consultant’s overlay of Figure 3 on the floor plans	Borrower	M-7, M-6
Complete Operating Agreement (the record contains excerpts only)	Borrower’s counsel	M-2
UCC, tax lien, judgment, litigation and bankruptcy searches; certified copies of the demolition and remediation contracts and final lien waivers	Lender’s counsel / Borrower	M-3, M-4
General Contractor financial statements and evidence of bonding capacity; architect’s professional liability certificate	Borrower	§ 3.7
Building permits and the City of Durham zoning compliance letter	Borrower	§ 3.16
Written Architectural Review Committee approval or evidence that the deemed-approval period has run	Borrower / Association	M-21
Current flood determination certificate	Lender’s vendor	M-8
Reconciliation and funds tracing for the $8,200,000 land cost; capital call records; the deed and closing statement	Borrower	M-16

8.2 Internal decisions required from the Lender. Elect the Commitment and LTV structures (Items M-1 and M-9) so that a single reduced commitment can satisfy both; decide whether the interest reserve is increased or supported by covenant (Item M-10); confirm the guaranty quantum (Item M-13) and the guarantor financial thresholds (Item M-14); confirm whether the environmental use conflict is a closing condition or a condition to advances (Item M-6); and refer the HVCRE classification to capital reporting (Item M-18).

9. Reservations

9.1 This memorandum is a preliminary assessment based on the documents listed in Section 1.2 as they existed on the date of this memorandum. Our conclusions may change on receipt of any of the documents listed in Section 8, and several of them are likely to do so — in particular the payoff statement, the Intercreditor Agreement, the recorded land use restriction and the survey.

9.2 We have not conducted any factual investigation, site inspection, lien search, title examination, UCC search or regulatory inquiry. We have not verified the accuracy of the third-party reports, including the Appraisal, the Phase I ESA, the Title Commitment and the Borrower's construction budget. Our statements about the contents of documents we have not reviewed are limited to the descriptions given in the documents that summarize them, and we identify those instances in the text.

9.3 Legal characterizations in this memorandum — including those concerning the enforceability of the membership interest pledge, the effect of Article IX of the Operating Agreement, mechanic's lien relation-back under N.C.G.S. § 44A-10, the enforceability of the guaranties independently of the underlying indebtedness, the effect of N.C.G.S. § 45-21.36 on deficiency claims, and the HVCRE classification — are preliminary and are subject to confirmation against the complete documents and applicable law. Nothing in this memorandum is a title opinion or an opinion of counsel within the meaning of the legal opinions to be delivered at closing.

9.4 The Draft Agreement is a first draft prepared from the Lender's perspective. It is not a recommendation that the Loan be made, and it does not address the creditworthiness of the Borrower or the Guarantors, the adequacy of the collateral, or whether the conditions of approval should be waived. Those are credit decisions for the Senior Loan Committee.

Ashford, Cromdale Consulting & Laine LLP

By: Katharine Drummond, Partner Direct: 704-555-0182 | kdrummond@ashfordcromdale.com